

The Culture of Business, Finance and the Economy

Class 23 – June 9

**Dr. Juan M. del Nido
First semester 2026**

Recap

Corporate Social Responsibility

tories and reports



2025 Water Stewardship Project Portfolio

Replenish and Watershed Health projects as of the end of 2024



Today

Technocracy: rule of experts



Part 1: a cultural history

Virtue Hoarders

The Case against
the Professional
Managerial Class

Catherine Liu



How did the PMC emerge?

The long 19th century

The emergence of a white collar professional class and the consolidation of professions and of professional standards of practice (medicine, professors, accounting, economics, banking, engineering; later also finance, business, and newer professions)

Shielding the professions (and their ascendance) from the market, the church, the aristocrats...

American Medical Association

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ABOUT

Founded in 1847, the American Medical Association (AMA) is the largest and only national association that convenes 190+ state and specialty medical societies and other critical stakeholders. Throughout history, the AMA has always followed its mission: to promote the art and science of medicine and the betterment of public health.

As the physicians' powerful ally in patient care, the AMA delivers on this mission by representing physicians with a unified voice in courts and legislative bodies across the nation, removing obstacles that interfere with patient care, leading the charge to prevent chronic disease and confront public health crises, and driving the future of medicine to tackle the biggest challenges in health care and training the leaders of tomorrow.

Asociación Médica Argentina, 1891



**To determine good practices and judge
betterment; to decide who is allowed in and who
isn't; to decide on the barriers of entry:
credentials, diplomas, right kind of training, **with a
mission to foster science, democracy and progress****

**Where did these professions reproduce
themselves?**

Universities

How did they reproduce themselves?

Merit

So merit and effort are the way into these guarded professions that have charged themselves with the common good, with progress, with advancing science and democracy for all.

Up until the 1960s, a broad political alliance between the students (who would become those professionals) and workers

Paris, late 1960s



U. North Carolina, Chapel Hill



However...



Gradually, they shifted:

From speaking **with workers and the oppressed**

To speaking **on behalf of workers and the oppressed**

With the legitimacy afforded by having attended university and belonging in this growing class of professional experts who set the standards for virtue to protect democracy and what is good and worthy.

By the 1970s this up and coming PMC elite was convinced of its position as the most advanced people on Earth, developing a paternalistic contempt for everyone else.

It involved highly-mobile, credentialed professionals, such as culture industry creatives, journalists, software engineers, scientists, professors, doctors, bankers, lawyers, economists, NGO workers, and all those who manage and deal in the abstractions we have studied here.

Why this matters to us

Because the PMC produces and legitimizes the bedrock for the culture of business, finance and the economy:

A culture whose main occupation is management of one kind or another, whose main output is abstractions (models, stories, equations), whose guiding ethical disposition is entrepreneurship (merit and effort) and whose main concern is the maximization of virtue (efficiency).

Governments;
NGOs;
National and international agencies;
Banks, investment banking, finance, and
consulting;
Universities;
Arts, sports and leisure industries...

**Part 2: a political history, the PMC
rules**

Technocracy

**Government by (a particular kind of)
experts**

What is technocracy?

BOSTON REVIEW

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Science



"Technocracy" by Windsor McCay. Image: [Gerard Van der Leun](#)

PHILOSOPHY, POLITICS

What's Wrong with Technocracy?

Democratic theory points to two problems: unjust concentration of power and a flawed theory of knowledge.

Matthew Cole

Democracy, Economy, Politics, Rethinking Political Economy



Late 1700s – early 1800s

A Kind of Utopia

Enlightenment thinkers anticipated a predictive science of society that would perfect government as a rational system of administration, surpassing politics with technical-scientific rationality

20th century

A short-lived technocracy movement that proposed government by experts as a solution to the economic problems of the Depression Era.

technocracy captured the debates of progressive intellectuals and policymakers.

WILLIAM E. AKIN

**Technocracy
and the
American Dream**

**The
Technocrat
Movement,
1900-1941**

W. Lippmann

The world has become too technical, too complex, too sophisticated for plain people to understand it or to understand its own interests; they need **experts to decide for them.**

“Ordinary citizens were helplessly constrained by the narrowness of their perspectives and interests and thus incapable of self-government. But experts and elites could still deliver the goods that people want from their governments if empowered to direct policy on the basis of social scientific knowledge”

**Here is the association between
the people and lack of
knowledge, lack of reason,
irrationality and ultimately
populism.**

Who are the experts?

Remember:

Economics as the science of all things

The Superiority of Economics

The Perfection of Mathematics

The authority of numbers and models

The legitimacy of physics

Technocracy

“calls for the transfer of political power to actors drawing legitimacy from their technical competence and expertise.” This political power is being transferred *from* elected officials and the public. The justification is typically that experts make better decisions than the public or its representatives—and that they will make the best decisions when they are several steps removed from the political pressures they generate. “technocracy can be characterized as political decision making by nonelected officials who are appointed because of their technical expertise. . . .”

***“Formally* respectful of democratic values and institutions,” technocracy is “the administrative and political domination of society by a state elite and allied institutions that seek to impose a single, exclusive policy paradigm based on the application of instrumentally rational techniques.”**

“The core idea of technocracy is that political decision-making is ‘depoliticized’ for efficiency reasons and insulated from the democratic process.”

When numbers, economic rationality, efficiency and models come in, those who disagree are insane, morally tainted, “populists”, or uneducated (“deplorables”), because how can you disagree with experts? With numbers? With gravity? With objectivity?

How can you disagree with the PMC?

Break

Case study: night flights at Brussels airport

Environment and Planning A 2010, volume 42, pages 1577 – 1594

doi:10.1068/a42269

Noise reduction: the postpolitical quandary of night flights at Brussels airport

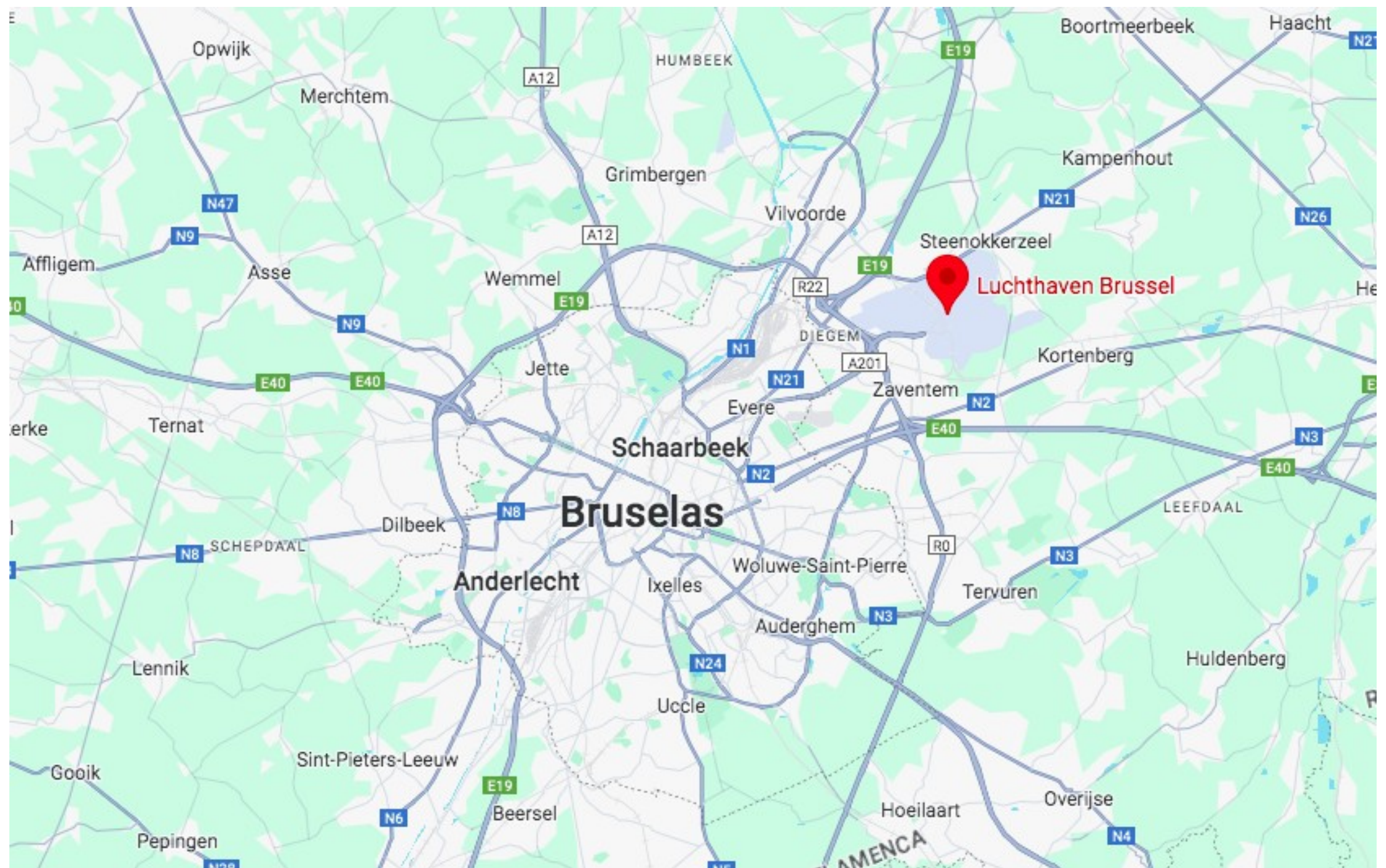
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DHL has been using Brussels airport since 1985. It is located in the Flemish periphery of Brussels, north of the city. In 2003, DHL employed 3500 people here; Some 84% of them are low skilled, significant for a city with high unemployment among the low skilled.

DHL sells speed: it can deliver anywhere in the world within 24 hours. DHL flies at night to allow their customers to send in packages as late in the day as possible and delivers them early the next day. Night flights are crucial to the success of their business model.

On 26 December 2003 DHL, which at the time used Brussels International Airport as its European hub, announced detailed plans for the expansion of its Brussels operations. 14 000 night flights would be added to its existing schedule of 20 000 flights.

Resistance and support in a huge debate:

Neighbours;

The three levels of government involved;

Wildlife activists;

Health NGOs;

Unions;

The airport itself;

Etc.

The coalition government, formed by three parties and led by Guy Verhofstadt, assured everyone that

“The right managerial-technological approach would iron out conflicting agendas, negotiate conflict and produce the best policy. Experts, NGOs, and other “responsible” partners would deploy technologies like risk-calculation, econometric models for health and transportation, and accountancy-based calculations, quantification and benchmarking, and best market practices.”

A “technocratic-managerial governance” where experts, whose legitimacy is their alleged expertise, decide for all of us.

Before, the government offered subsidies for noise insulation in the neighbouring houses and spread plane movements (and hence noise) more equally over the three runways. Experts debated flight zones, flight quotas, flight procedures, noise-pollution norms and maximum noise level peaks, calculated financial sanctions and technical noise-pollution typologies for planes...

For example

New proposals concentrated all night flights above six municipalities north of the city. The experts argued this would reduce the number of residents suffering from excessive noise, from the current 19 000 to “only” 10 000.

This “concentration policy” was an application of the “stable concentration concept” (lol?), devised and proposed by a group of international expert consultants and which implied the exclusion of the noisiest planes, the concentration of flight corridors over a limited number of designated flight paths, and subsidies for noise insulation or expropriations for residents living directly under the take-off and landing routes.

This “concentration” strategy met with immediate protest from the municipalities in the northern periphery. Since April 2000, night flights had gradually been moved away from the capital and its southern and eastern periphery and were increasingly concentrated in a small corridor above the northern periphery. An activist committee was set up to defend the interests of the northern periphery; they demanded a “fair” distribution of flights over the entire region.

This triggered a protracted conflict between the different pressure groups, each vying for a better position in the geographical distribution of noise pollution. Legal challenges multiplied.

The federal government then allowed more planes to fly again over Brussels and its southern and eastern periphery. Later, courts decided that night flights needed to be distributed over all possible flight routes and runways. A new flight-distribution plan focused on “equitable dispersion”, rather than concentration.

However, every subsequent new version of this dispersion plan was also contested and challenged in court by those that felt disadvantaged.

Another approach: cost-benefit analysis

Cost-benefit analysis was a preferred technology to handle disagreement as a manageable, calculable set of interests and demands. It turns complex social and political issues into quantifiable variables. Neighbours' demands that cannot fit in terms of quantitative costs and benefits are effectively reduced to background "noise": what didn't fit the model didn't count.

It assumes that for every political disagreement there is a socially optimal, calculable, and manageable solution: a "rational" and "balanced" resolution could be negotiated.

As many costs and benefits as you want...

An environmental NGO called for a new cost-benefit analysis as an “objective” basis to develop good policy. They suggested comparing the economic benefits of DHL's night flights in terms of the number of created direct and indirect jobs, the calculation of value added, tax revenues, and so on with costs related to health problems, productivity loss through lack of sleep, environmental pollution, and depreciation of housing-stock values. Quantifying these factors in monetary terms renders them comparable and hence open to “rational” deliberation.

DHL argued increasing the number of night flights from 20 000 in 2003 to 34 000 in 2012 would also bring over 5000 jobs. This disrupted the search for a “fair” distribution of noise, which now had to account for all those jobs (who will get jobs?) and negotiations had to start all over again...

On 21 October 2004, DHL publicly announced its decision to move its central European hub to Leipzig.

Conclusion

We're done!